

H1 2015

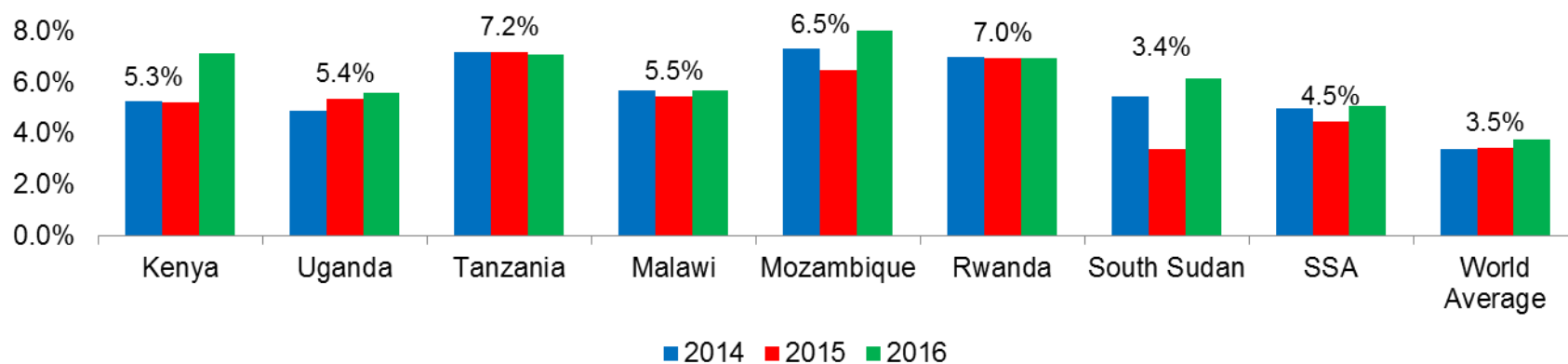
BUSINESS AND FINANCIAL REPORT

1. Macro economic environment
2. Britam Overview of Business & Strategic Initiatives
3. Financial Performance
4. Outlook
5. Wrap up

1. Macro economic environment

- **GDP review**
- **NSE performance review**
- **Insurance Industry highlights**

GDP growth forecasts for economies where Britam operates



Source: IMF WEO April 2015

Kenya's economic growth adjusted downward from detrimental changes in the underlying macros 6.9% to levels of 5.25% considering;

- High interest rates
- Depreciating currency
- Rising Inflation
- Insecurity
- Expected El Nino rains
- Weaker earnings by companies

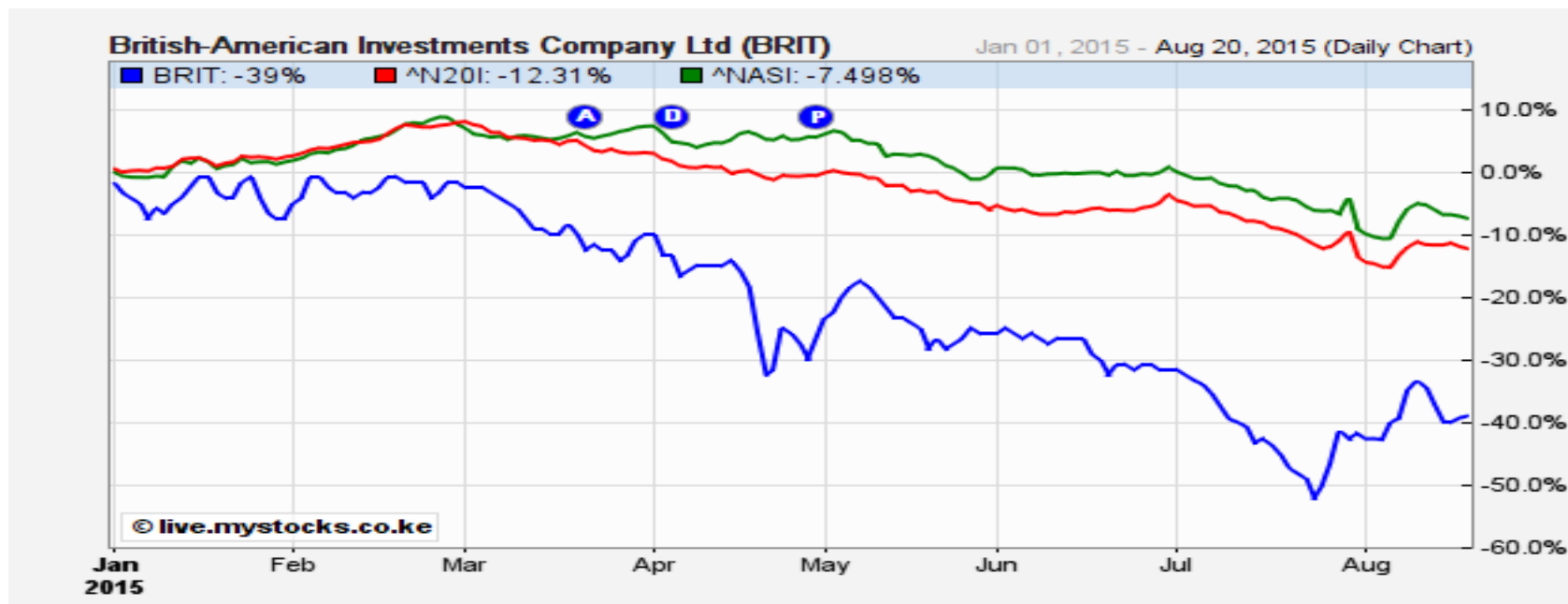
Regional economies are expected to continue growing strongly driven by;

- Infrastructure investment in the region
- Lucrative oil and gas sector
- Growing private sector
- Launch of Comesa - Sadc-EAC Tripartite Free

Trade Area.

Regional economies are projected to grow by more than 5% in 2015, above the World and SSA projections of 3.5% and 4.5% respectively

The NSE 20 Index has shed 12.3% YTD while NASI is down 7.5%



Source: www.live.mystocks.co.ke/stock=BRIT

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- Bearish sentiment on the blue chip stocks as concerns on currency weakness and higher interest rates weighed on investors
- Foreigners have remained the largest sellers in the market, driven by the currency weakness and portfolio re-allocations to other African Markets

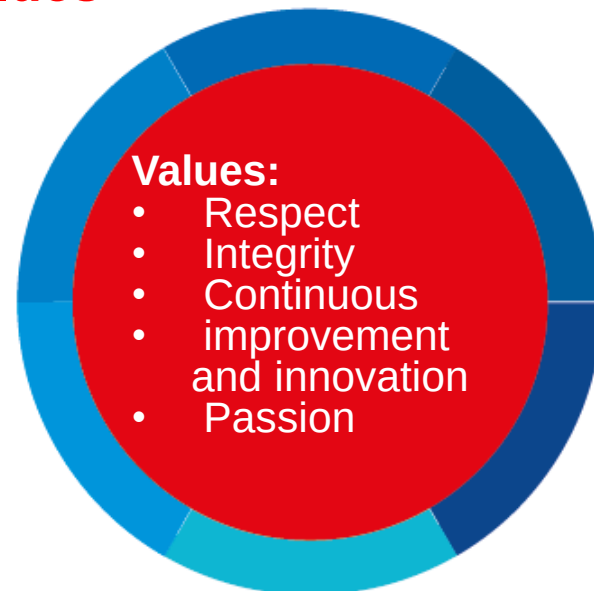
Industry Highlights

- **Insurance Penetration**
 - Slowed down to 2.93% in 2014 from 3.44% in 2013 attributed to GDP rebasing.
 - Life insurance penetration at 1.06%
 - Non-life insurance at 1.87%
- **Strong Growth**
 - Gross Written Premiums increased by 20.3% in 2014, driven by introduction of insurance schemes for civil servants and disciplined forces by Government.
 - Life insurance is growing faster (29.4%) compared to Non-life (15.6%).
- **Britam leads**
 - Britam is the largest life insurer in Kenya with an 18.7% market share, according to IRA's Q1 2015 statistics.
- **Mergers & Acquisitions**
 - Industry consolidation witnessed
- **Property landscape**
 - Kenya's growing middle class presents an opportunity
 - The average value for a property has gone from 7.1 million in December 2000 to 26.7 million in June 2015. **Source- Hass Consult Real Estate**
- **Asset Management**
 - Recent government approval of investments in Private Equity by Pension Funds created an opportunity
 - Alternative investments asset classes remains an opportunity

2. Overview

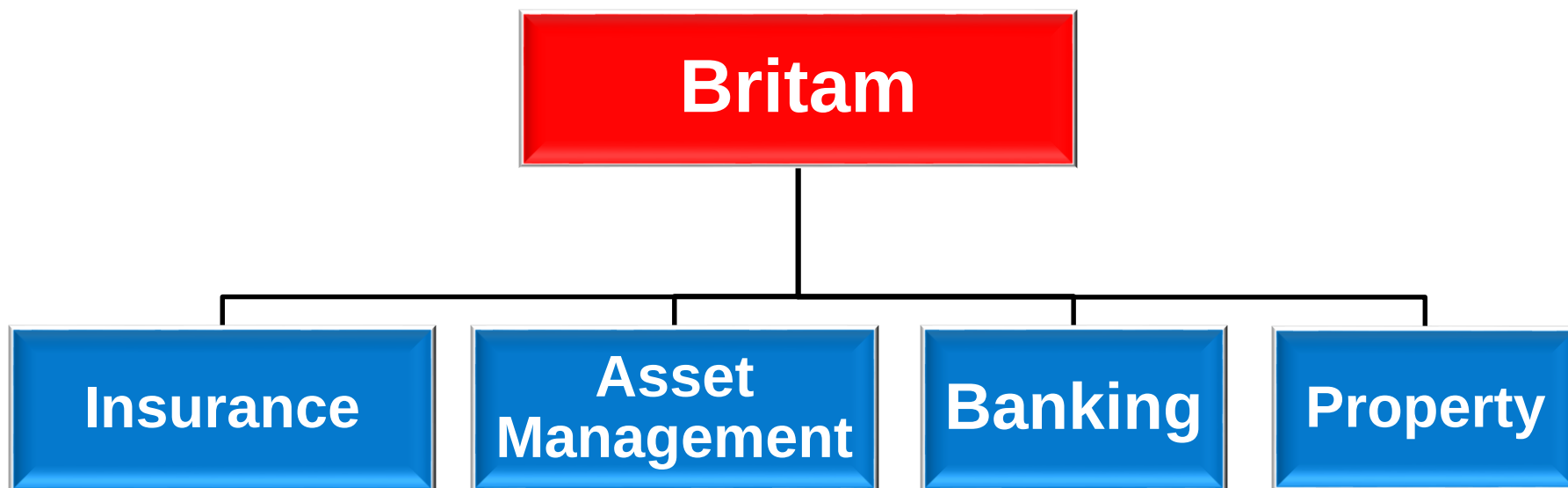
- Our Business
- Our Strategy
- Corporate Governance Framework
- Risk framework

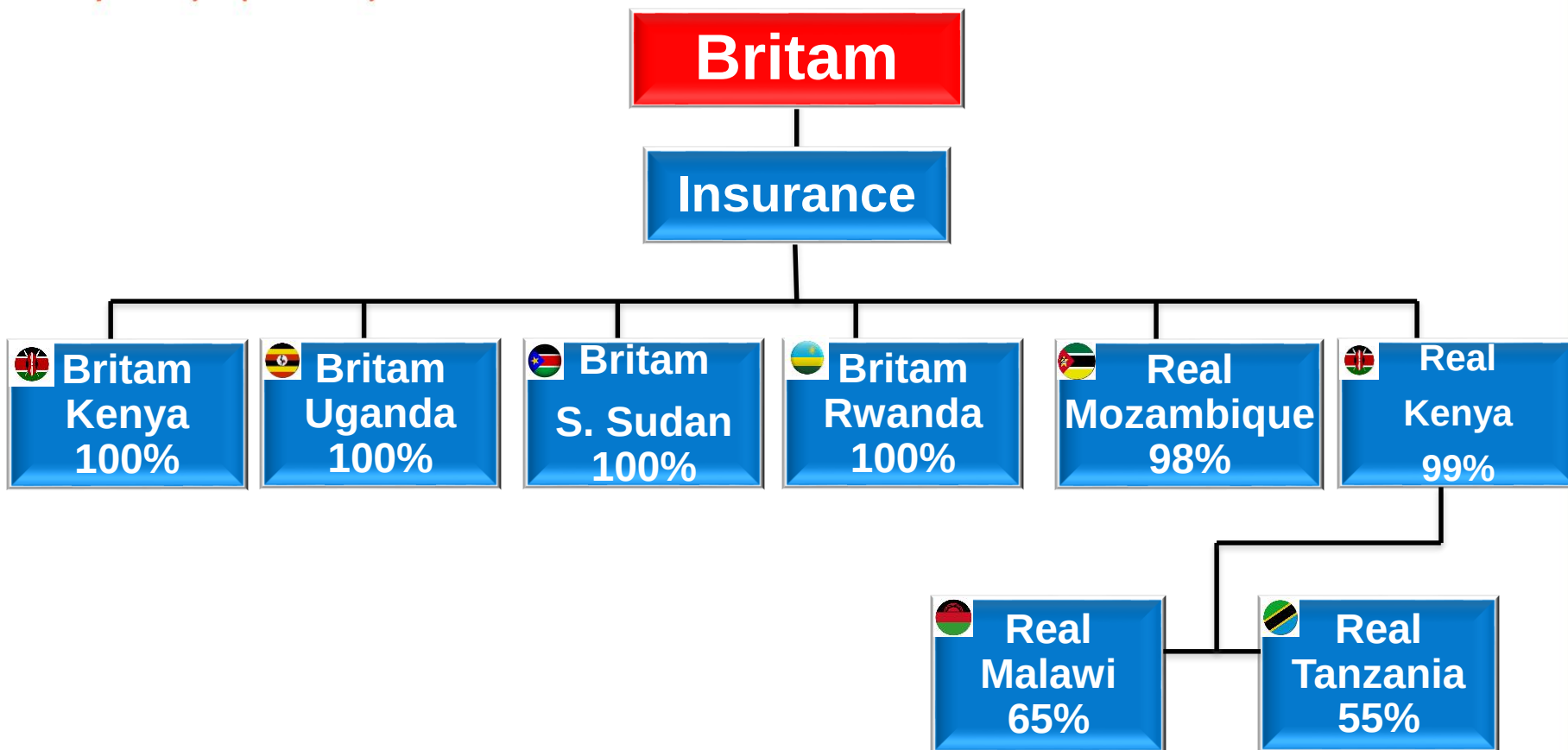
Vision, Mission and Values

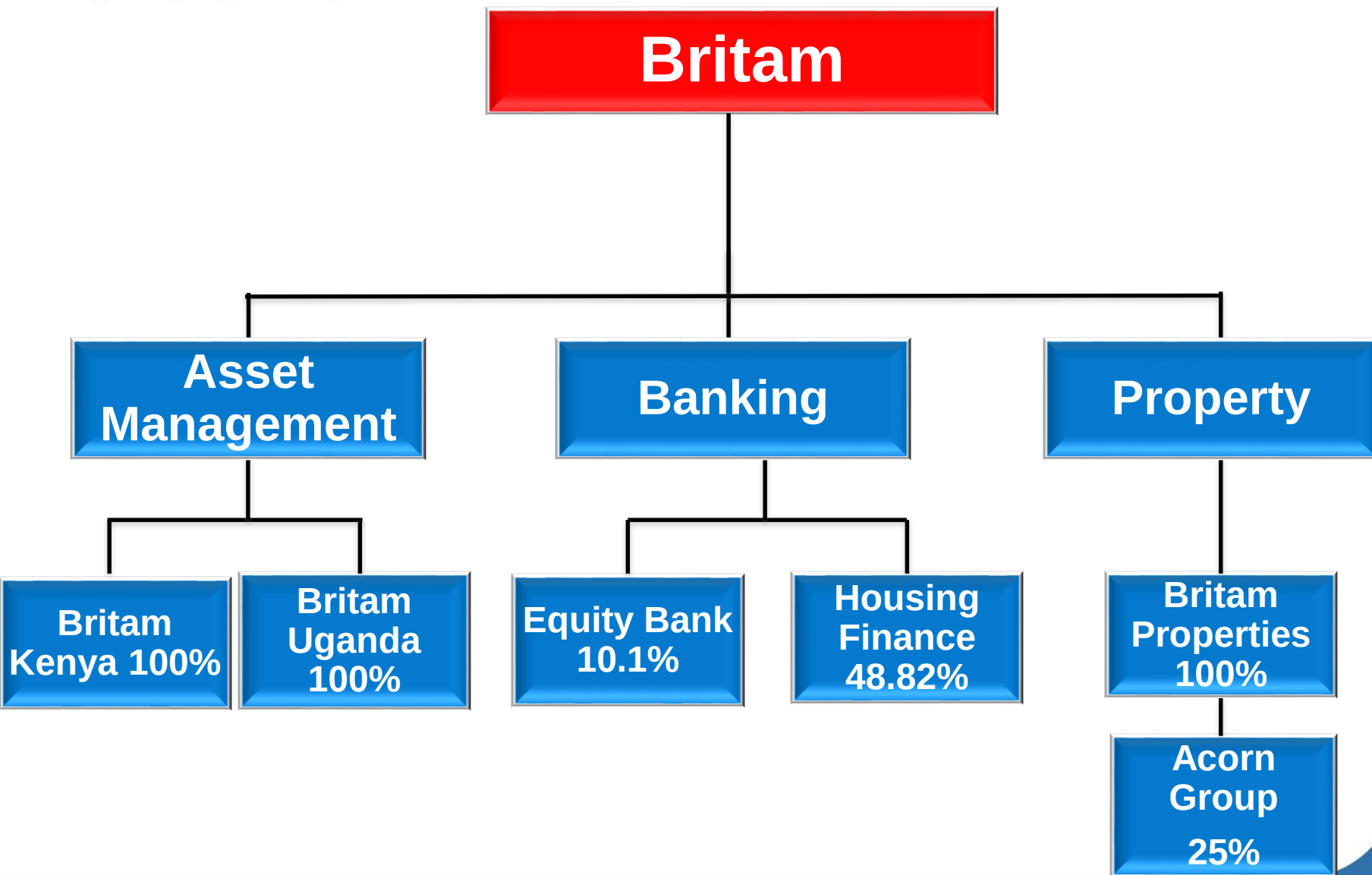


Britam is a leading diversified financial services group, listed on the Nairobi Securities Exchange. The group has interests across the East and South African region and offers a wide range of financial products and services in **Insurance, Asset Management, Banking and Property.**

Our Business:
Structured to deliver on our promise









Britam Footprint

- Kenya
- Uganda
- Tanzania
- Rwanda
- South Sudan
- Mozambique
- Malawi

Our Strategy : Progress against strategic thrusts

1

Local Expansion

Care at our customer's doorstep

- 40 Local Branches
- Over **2400** Financial Advisors, **300** Independent agents (more than half the total agency force in the industry)
- Bancassurance

2

Regional Expansion

Increase geographical presence

- Real acquisition
- A leading integrated **Pan African financial services group** with presence in Seven Countries

3

IT enabled business transformation

Achieve operational efficiency

- Launched Project Jawabu
- ERP go live in **October 2015**

4

Property

To diversify revenue streams and increase shareholder value

- Well established land Bank
- In house project development capacity

Our Strategy : Progress against Strategic initiatives

1

Scale

- Growth in Total Assets - **CAGR 36.7%**
- Growth in AUM – **CAGR 38 %**
- Market Cap of up to **Kshs. 77 Bn**
- Largest life insurance company in Kenya by market share -**18.7%**
- Tremendous growth in Non –life business market share from **2.5% to 6.81%**

2

Product Diversification

- Product portfolio beyond, life and non life business
- Strong growth of the asset management
- property – Britam Tower currently on 27th Floor

3

Brand Equity

- Industry leader in Share of Voice (SoV) **25%**
- Industry Leader in Top of Mind (ToM) awareness **33%**

4

Human Capital

- Developed and retained talent , **898** members of staff
- Attrition rate of **4%**
- **Employer of choice**; with loyal motivated and engaged staff

Corporate Governance and Risk Framework :

Strong emphasis of good governance and risk management through a three line defense model.

1st line of Defense

2nd line of Defense

3rd line of Defense

Strategy,
performance and
Risk Management



Risk monitoring
and Oversight



Independent
Assurance

Board &
Management

Board Risk and Compliance
Committee and Group Risk
& compliance department

Internal and
External Audit



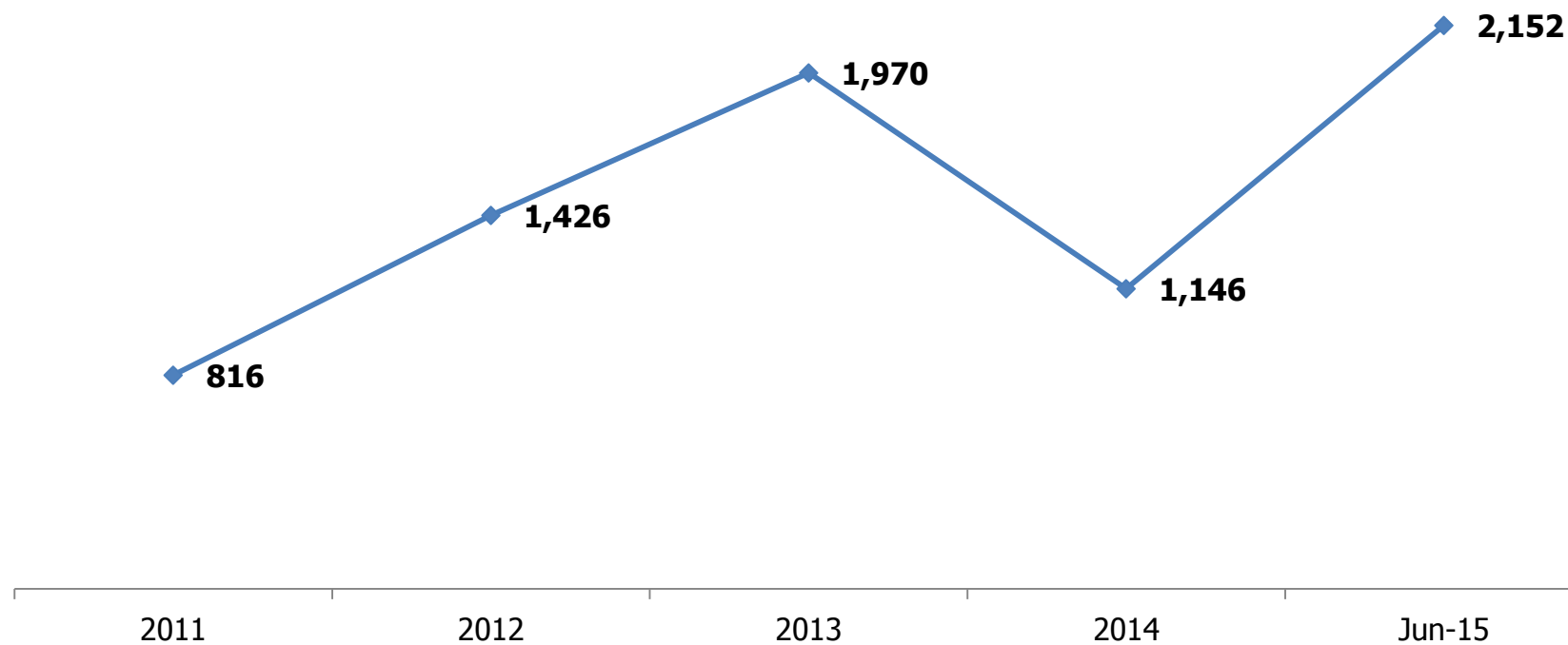
Group Financial Performance

Statement of comprehensive income - Revenues

grew by 77%

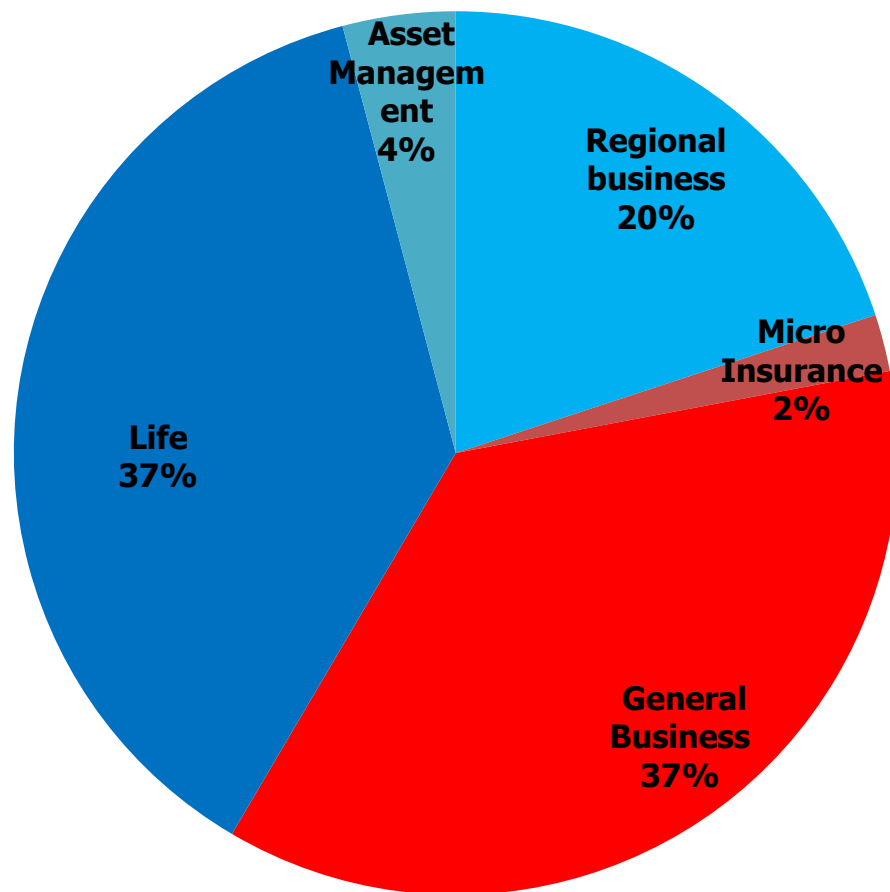
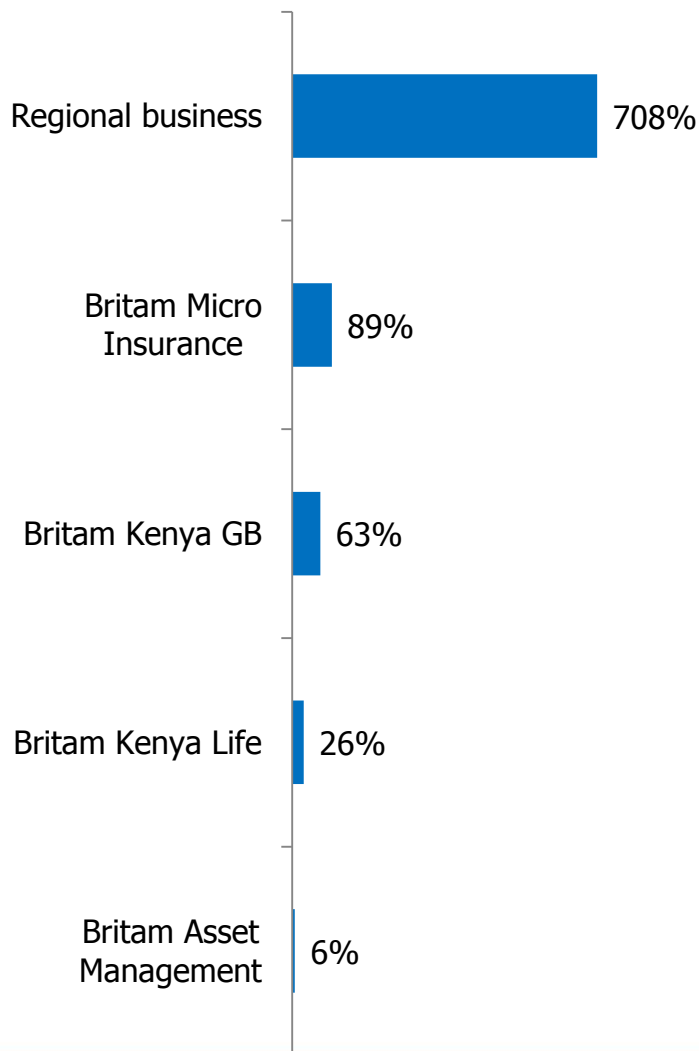
Shs' million	June' 2015	June' 2014	% change
Gross Earned Premium	10,638	6,025	77%
Earned Income	8,805	5,441	62%
Financial assets fair value changes	(843)	2,864	-129%
Investment income	2,588	1,784	45%
Other Income	497	154	223%
Total Income	11,047	10,243	8%
Net Claims payable	(5,110)	(3,599)	42%
Interest/unit gain	(265)	(861)	-69%
Commission payable	(1,979)	(1,094)	81%
Operating expenses	(2,462)	(1,833)	34%
Finance costs	(390)	-	-
Share of profit of associates	202	153	32%
Profit before tax	1,044	3,010	-65%
Income tax	(419)	(263)	59%
Profit after tax	625	2,746	-77%

Growth in Group PBT on the Core business – Factoring out Fair value gains has grown by 88%



Growth rate of Business line Revenues

Distribution of Revenues in the Group



Overall Insurance revenues **growth** rate at **82%**
from 5.6B in 2014 to **10.2B** in 2015.

**Insurance business revenue 95.9% of total Group revenue -
10.2 Billion**



**Kenyan
Insurance
business
76.0% - 8.1
Billion**

Regional business 19.9% - 2.12 Billion



**Life
Business
37.4% -
4.0B**



**General
Business
38.6% -
4.1B**



**Real
Tanzania
5.3%
564M**



**Real Moz
2.9%
312M**



**Real
Malawi
3.3%
355M**



**Britam
S.Sudan
3.7%
391M**

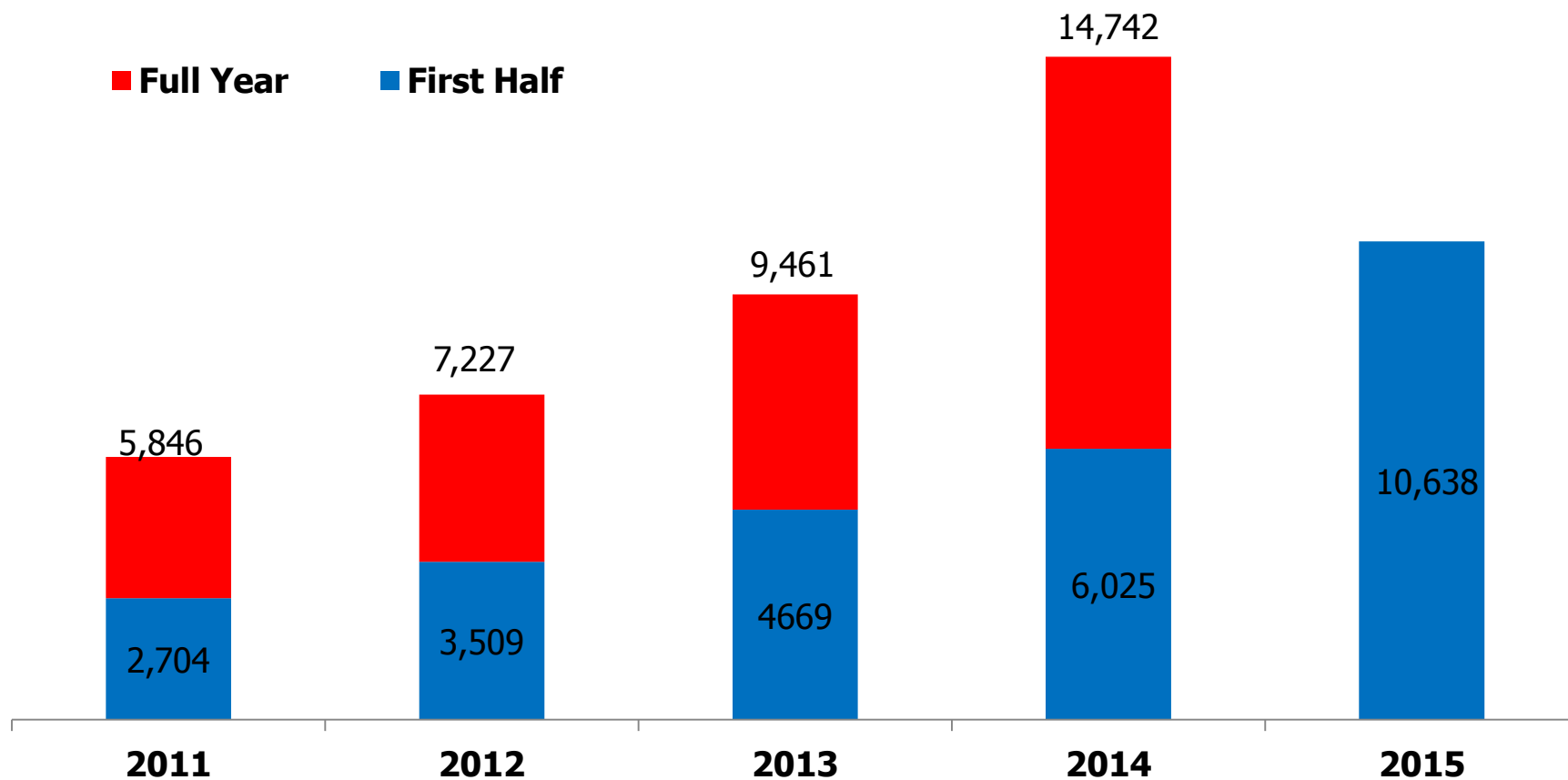


**Britam
Uganda
3.5%
371M**



**Britam
Rwanda
1.2%
131 M**

Steady Revenue Growth for the past 5 Years

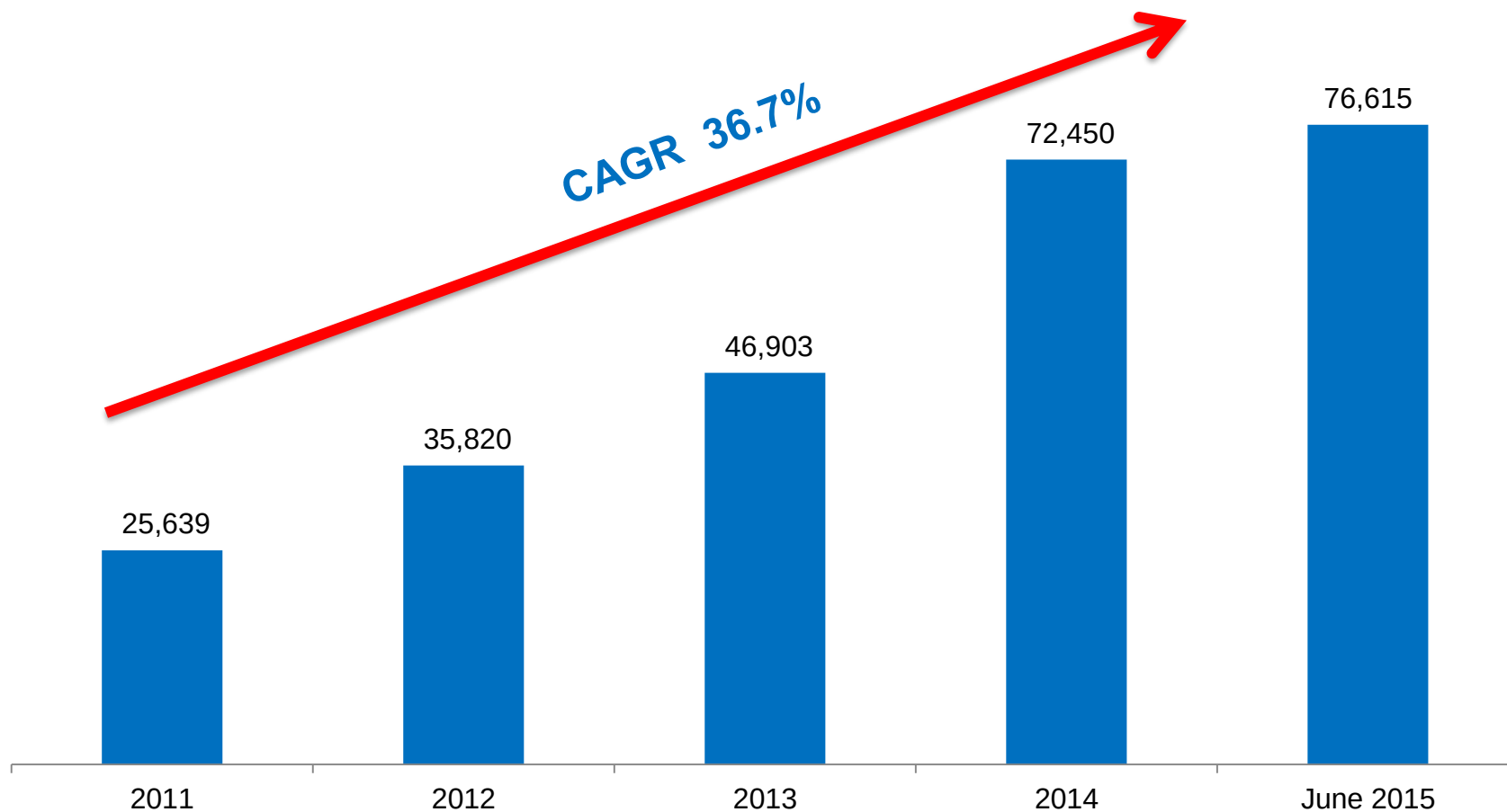


Balance Sheet : 39% Growth in Total Assets

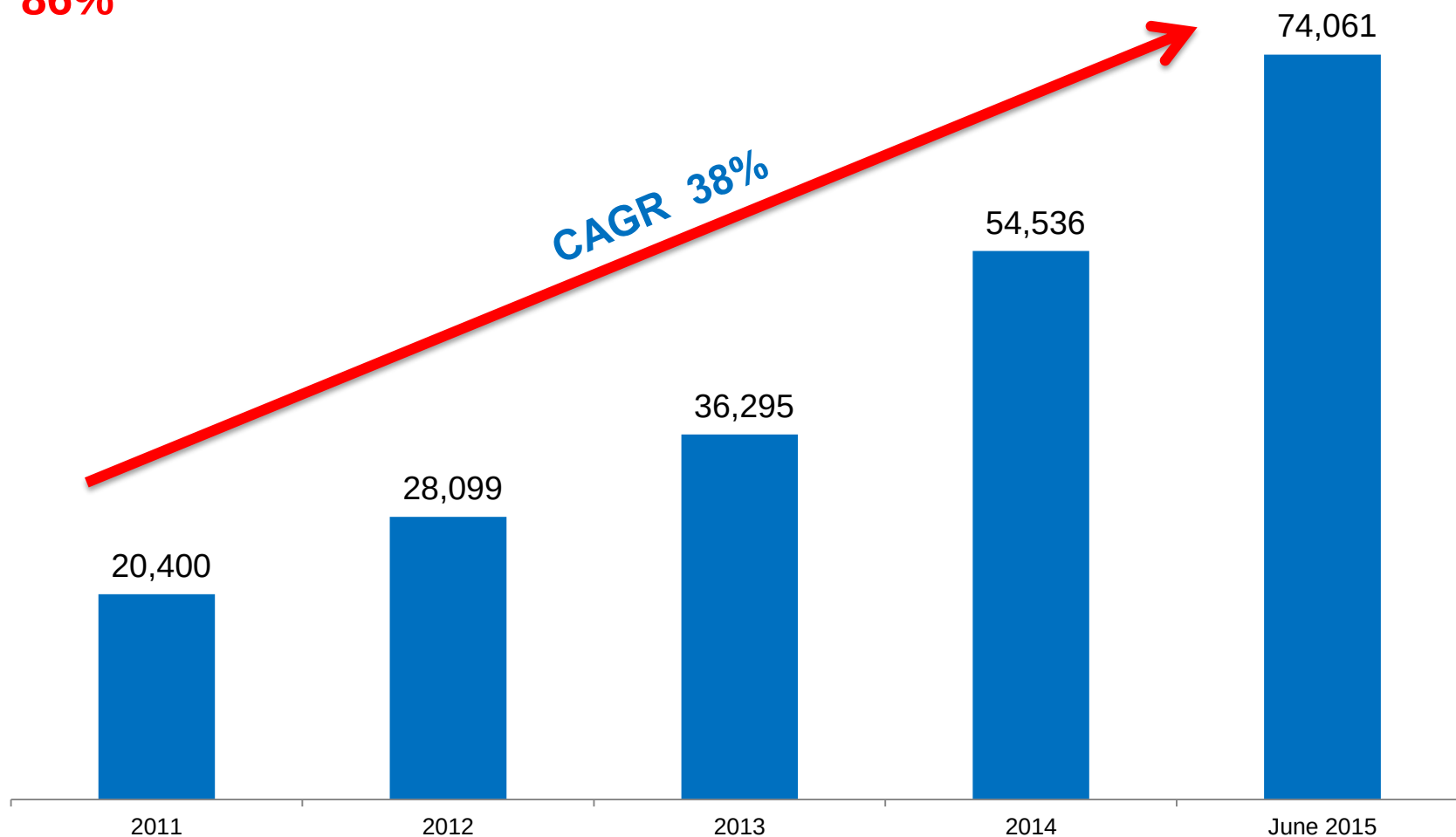
CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	30 June 2015	30 June 2014
	Shs'000	Shs'000
Share capital	193,841	189,145
Share premium	4,263,412	3,164,455
Other reserves	12,368,399	11,799,037
Retained earnings	4,089,473	5,192,376
Shareholders' funds	20,915,125	20,345,013
Non-controlling interest	52,718	-
Total Equity	20,967,843	20,345,013
Represented by:		
Assets		
Fixed assets	1,599,375	1,566,494
Investment assets	59,567,363	46,020,370
Insurance assets	7,787,862	3,227,250
Cash and cash equivalent	4,954,172	3,489,802
Other assets	2,706,082	846,598
Total assets	76,614,854	55,150,514
Liabilities		
Insurance liabilities	44,955,838	32,597,608
Corporate bond	6,000,000	-
Other liabilities	4,691,173	2,207,893
Total liabilities	55,647,011	34,805,501
Net assets	20,967,843	20,345,013

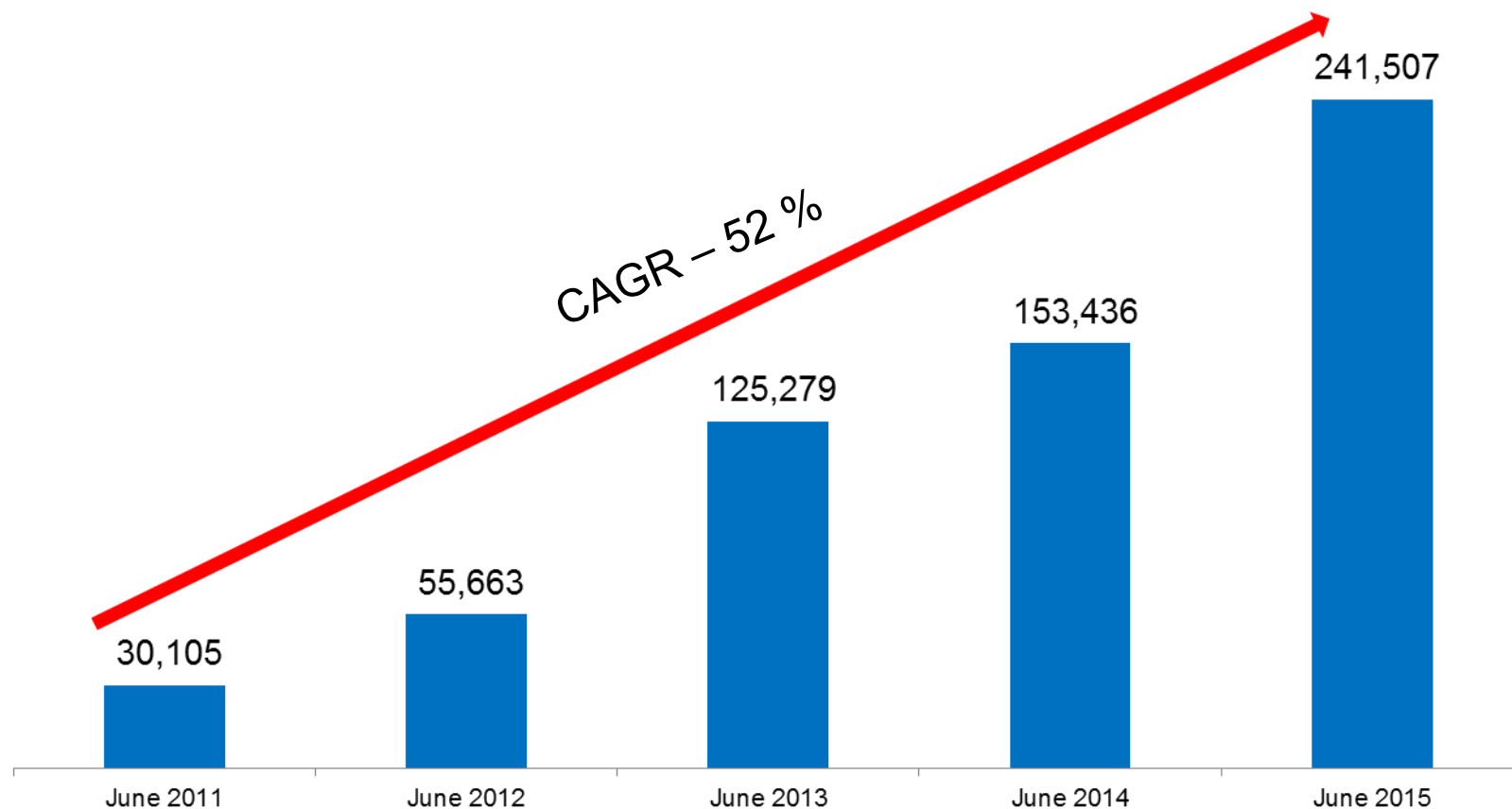
Total Assets YTD at Shs 76.7b: 39% growth in 2015



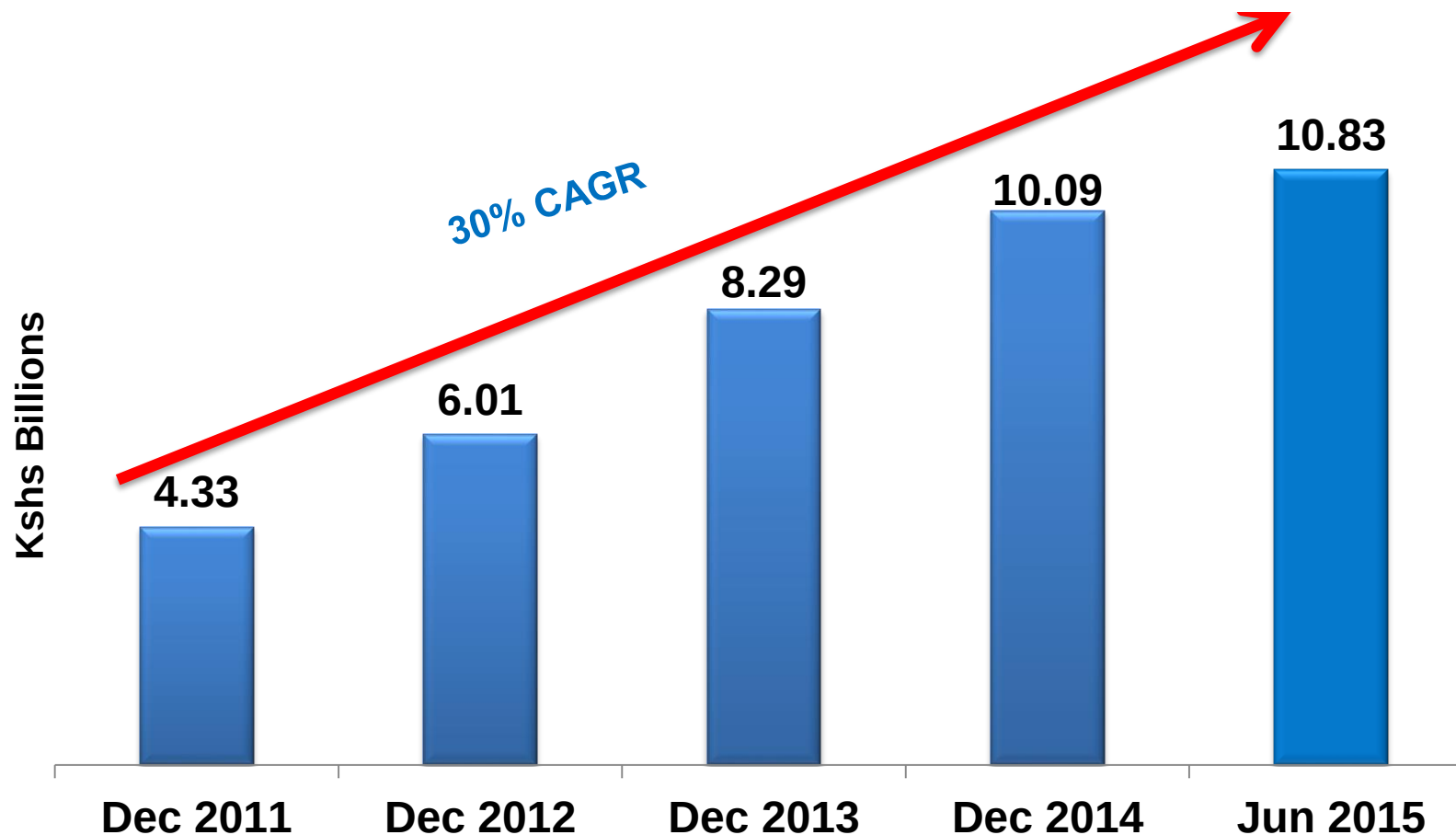
Steady AUM Growth - Currently Managing Shs 74B a Growth of 86%



Asset Management Profitability grew by 57%



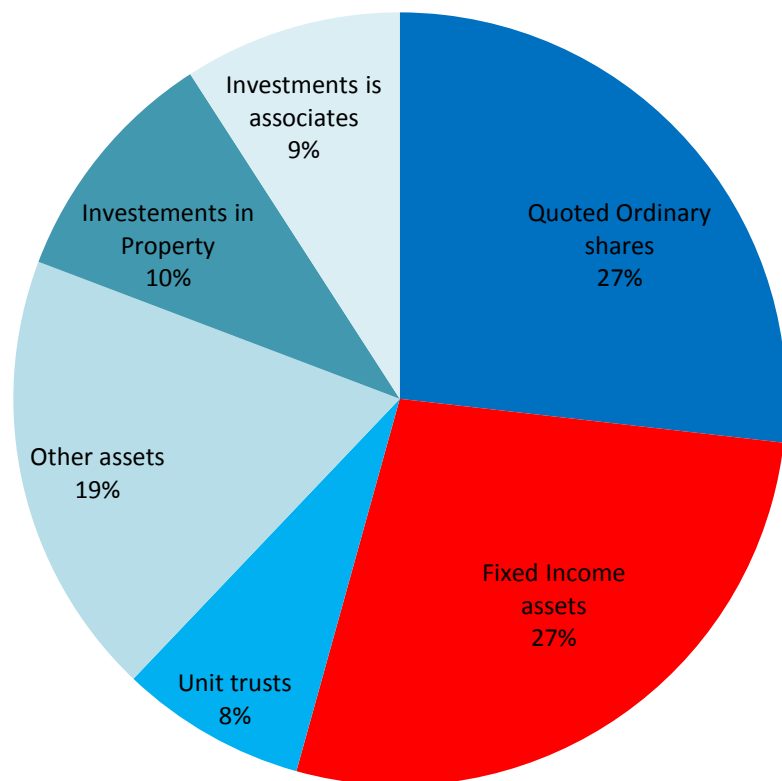
30% CAGR on Embedded Value





Outlook

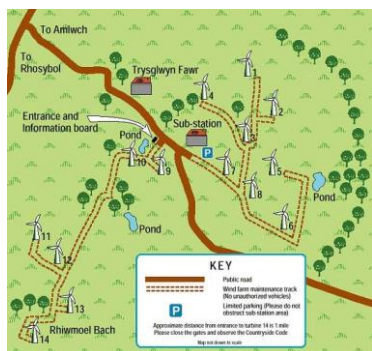
Our Asset Mix



- We continue to invest towards a **Diversified** and **Optimal** Asset Portfolio
- Increase our property portfolio to between 20% & 30%
- Reduce reliance on equities <30%

Our property strategy

“Converting idle land into vibrant opportunities”



Capital raising
phase - Group
& AMC

Planning Phase
– Property team

Development
Phase – Britam
properties

Returns & Exit –
AMC & strategic
partners

Kilimani Property

“Converting idle land into vibrant opportunities”



Land size 1.665
Acres Valued at
Kshs. 545 M

Proposed
serviced apartments

Estimated project size
KShs. 2.3 Bn
Ground breaking in Q1
2016

Targeted Equity IRR of
27% IRR
Exit through easily
tradable financial
instruments

Capital raising
phase - Group
& AMC

Planning Phase –
Property team

Development
Phase – Britam
properties

Returns & Exit –
AMC & strategic
partners

Growth Accelerators

Britam has laid the platform for sustainable future growth through:

- Geographical footprint – Grow its presence in the 7 countries
- Innovation - IT transformation (Project Jawabu)
- Britam Properties - Operationalized and executing the property strategy



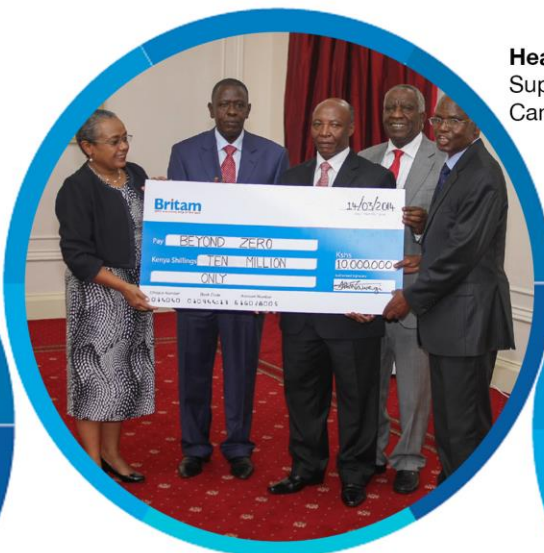
Wrap Up - Corporate Social Responsibility

Focus Areas

- Health
- Education
- Sports
- Environment



Sports:
Sponsored the Inaugural Britam Kenya Guineas Cup



Health:
Supported the "Beyond Zero Campaign"



Education:
Built classrooms for Olympic Primary School in Kibra



Sports:
Won the exclusive Branding Rights for Nyayo Stadium



Sports:
Main sponsors of Mathare United Football Club



**Association of Kenya Insurers Award (AKI)
Company of the Year eight years in a row**



Induction into the Palladium Hall of Fame for Executing Strategy



- Overall Winner- Marketing Initiative of the Year
- Overall Winner- ICT Award
- Overall Winner -Customer Service Award
- Overall Winner -Customer Satisfaction Survey Life
- 1st Runners Up- Life Insurer of the Year
- 2nd Runners Up - Claims Settlement Award



QUDAL Quality Medal Award –Britam was named the Best Insurance Company in Kenya in 2014



COYA 2014 Customer Orientation and Marketing Award.



THANK YOU